



Results were in line with estimates

- Revenue: grew by 7.8% YoY to Rs 29,417.5mn (QoQ +4.4%). India Business volume growth stood at 2%.
- EBITDA: grew 9.3% YoY to Rs 6,275mn (QoQ +1.1%)
- EBITDA Margins at 21.3% (Vs 21% YoY) (Vs 22% QoQ)
- PAT was up by 2.3% to Rs 5,033.2 Mn (tax rate stood at 22.4% Vs 16.5% YoY & 23.6% QoQ)
- Gross margins reduced on a QoQ basis by 205 bps

Expenses

- RM to Revenue stood at 51.66% v/s 49.6% YoY (QoQ 51.2%)
- A&P spends to Revenue: stood at 8.1% v/s 10.3% YoY and 7.2% QoQ
- Other expenses to Revenue: stood 9.7% v/s 9% YoY (QoQ 10.1%)
- Employee Cost to Revenue stood 9.3% v/s 10% YoY (QoQ 9.6%)

Outlook double digit growth to continue for FY22 with similar EBITDA margins:

- Overall business for Q3FY22 grew at single digit but going forward the management is confident of achieving an overall double digit growth for FY22 aided by high double digit growth in Foods business and double digit growth in home & personal care division.
- Innovation is a cornerstone of Dabur's growth strategy and have a pipeline of products planned (new products contribute almost 4% of Revenue)
- Current EBITDA margins of 22% would be maintained

Rating	TP (Rs)	Up/Dn (%)
BUY	630	13

Market data

Current price	Rs	557
Market Cap (Rs.Bn)	(Rs Bn)	984
Market Cap (US\$ Mn)	(US\$ Mn)	13,144
Face Value	Rs	1
52 Weeks High/Low	Rs	659 / 483
Average Daily Volume	('000)	1,201
BSE Code		500096
Bloomberg		DABUR.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	67.37	67.36
Public	32.63	32.64
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Net sales	87,036	95,598	109,222	122,539	134,793
growth (%)	2.0	9.8	14.3	12.2	10.0
EBIDTA Margins	20.6	20.9	21.3	22.1	21.9
Adjusted net profit	15,288	16,914	18,588	22,362	24,766
EPS (Rs)	8.7	9.6	10.5	12.7	14.0
growth (%)	1.5	10.6	9.9	20.3	10.8
P/E (x)	64.4	58.2	53.0	44.0	39.7
P/B (x)	14.9	12.8	11.2	9.7	8.5
RoCE (%)	26.5	25.6	26.5	27.5	26.7
RoE (%)	23.1	22.1	21.2	22.1	21.3
Dividend yield (%)	0.5	0.5	0.9	0.8	0.9

Source: Dalal and Broacha

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Conference Call and Other Segmental KTA's

Dabur Q3FY22 Conference Call and Other Segmental KTA's

• OUTLOOK

- EBITDA margins for Q4FY22 would be maintained at similar level.
- FY22 Revenue to witness double digit growth.
- Dabur's rural growth was ahead of Urban

A. DOMESTIC Revenue +6.6% YoY growth with 2% volume growth @ Rs 21,000mn (+4.6% QoQ growth) 2 year CAGR +12.9%

1. Health Care (40% of Domestic Revenue) degrew -4% YoY to Rs8390mn (+23.5% QoQ) 2year CAGR 19.2%
 - Health Supplements (24.5% of domestic revenue) degrew by 8.3% as Chyawanprash and Honey reported muted growths on high bases 2year CAGR for both brands was +11.2%
 - Market Share for Chyawanprash +200bps and Honey +180bps
 - Digestive (5.3% of Domestic Revenue) +12.2% YoY aided by OOH consumption and improved mobility. Hajmola and Pudim Hara grew in double digit. 2 year CAGR stood at 5.8%
 - Chawanprash introduced in tablets, powder and granules
 - OTC and ethicals (10% of domestic revenue) +3.6% YoY, 2 year CAGR of 15.4%. Covid related products saw reduced traction.
 - Single herbs market size @ Rs 10,000crs, scope of growth is tremendous
 - Health and Nutraceuticals penetration is at 10% vs 40% in the US.
2. Home and Personal Care (46% of Domestic Revenue) +8.4% YoY to Rs 9650mn (QoQ -3.6%) 2 year CAGR 12.1%
 - Oral Care (17% of domestic revenue) +6.7% YoY. Toothpaste category +8.1% YoY growth aided by Dabur Red paste. Double digit growth for the past 7 quarters
 - Hair Oil & Shampoo (18.2% of Domestic Revenue) +8.5% YoY growth.
 - Hair Oils grew by 6.1% perfumed and Coco Oils saw market share gains. Shampoo's too recorded 21.2% YoY growth, market share in shampoo category increased by ~40 bps.
 - Highest competition in Hair Oil where price increase did not cover inflation

- Home Care (6% of domestic revenue) +18.6% YoY. Market share gains in Odonil +50bps and Odomos +40bps
- Skin Care (4.9% of Domestic Revenue) grew 3.2% YoY, excluding sanitizer it grew by 20% || Fem, Oxy and Gulabri delivered double digit growth.
- 3. Foods and Beverages (14.1% of Domestic Revenue) +37.7% YoY growth aided by 38.6% growth in beverages and 26.4% in foods || Market share of Real increased by 520 bps
- Hommade brand showing good performance driven by innovation. In-home and OOH registered strong growths.
- Juice and Nectar market size = Rs 1.5bn (Dabur market share @ 64%) || Drinks market size Rs 10000crs (addressable market ~ 10%) and Dabur would exit @ Rs 100crs this year.
- Entered salty snacks with Chai Seeds and Pumkin Seeds

B. International Business: +7.3% YoY to Rs 7383.8 mn

(QoQ +0.8%) || CC growth @ 17.5% overall, 14.3% in INR

- Constant currency YoY growth was as follows: Mena +18.6%, Egypt +21.2%, SSA +22.4%, Turkey +9.9%, Namaste +24.7% and Nepal +36.2%
- Turkish Lira depreciated significantly but in-country RM procurement and export of products helped maintain profitability.
- Other KTA's and Outlook
- Market share gains witnessed in all products in the portfolio. Volume growth @ 2 %, price growth @ 5%
- Excluding Honey and Chyawanprash, domestic FMCG sales grew at 8%
- 46% of revenue contribution was from Rural. Rural growth exceeded Urban growth by 500 bps
- In categories where Dabur is the leader, price increase was ahead of inflation
- New Product Development @ 3.6% of rev, 10% of e-comm. Ghee and Mustard Oil doing extremely well with good traction on E-commerce
- E-commerce sales @ 6-7%, aim is to reach 15% in terms of contribution in 5 years
- PLI scheme will deliver 2 to 3 % additional margins in next 3-4 years (PLI received on greenfield expansion)
- SKU size reduced to 1300 from 1500 earlier (where sales were less than 1% of Revenue)

Quarterly Performance Analysis

Exhibit 1

Particulars	Q3FY22	Q3FY21	YoY (%)	Q2FY22	QoQ (%)
Revenue from Operations	29417.5	27288	7.8%	28176	4.4%
Other Income	967.4	809.30	19.5%	1124.40	-14.0%
Total	30384.9	28098	8.1%	29300	3.7%
COGS	15195.8	13537.30	12.3%	14415.00	5.4%
% of sales	51.66%	49.6%		51.2%	
Employee Benefit Expense	2730.2	2740	-0.4%	2697	1.2%
% of sales	9.3%	10.0%		9.6%	
Other Expenses	2845.8	2445	16.4%	2835	0.4%
% of sales	9.7%	9.0%		10.1%	
Advertisement and Promotional Expense	2370.7	2823.80	-16.0%	2021.70	17.3%
% of sales	8.1%	10.3%		7.2%	
EBITDA excluding other income	6275	5741.90	9.3%	6207.10	1.1%
EBITDA MARGINS	21.33%	21%		22.03%	
EBITDA including other income	7242.4	6551.2	10.6%	7331.5	-1.2%
Depreciation	632.0	571.7	10.5%	633.3	-0.2%
EBIT	6610.4	5979.5	10.6%	6698.2	-1.3%
Finance costs	110.8	68.6	61.5%	82.7	34.0%
PBT Ex of JV and Exceptional items	6499.6	5910.9	10.0%	6615.5	-1.8%
profit/loss from JV	-1.1	-1	10.0%	-4.2	-73.8%
exceptional items		0			
PBT	6498.5	5909.9	10.0%	6611.3	-1.7%
Tax Expense	1455	975	49.2%	1558.2	-6.6%
Tax Rate	22.4%	16.5%		23.6%	-5.0%
PAT	5043.50	4934.9	2.2%	5053.1	-0.2%
NPM	16.6%	17.6%		17.2%	
Extraordinary item					
Minority Interest	10.30	14.8	-30.4%	9.6	7.3%
NPAT	5033.20	4920.1	2.3%	5043.5	-0.2%
NPM	16.6%	17.5%		17.2%	-3.8%
Adjusted PAT	5033.20	4920.1	2.3%	5043.5	-0.2%
Equity	1767.4	1767.4		1767.4	
Face Value	1	1		1	
Number of Shares	1767.9	1767.4		1767.9	
Basic EPS Calculated	2.85	2.78		2.85	

Source: Dalal & Broacha Research, Company

Valuation

Company is expanding into newer sub-segments and bifurcating existing products to increase TAM. We remain very positive on the current developments in the company and leadership under the current management.

We roll over our estimates to FY24. At Rs 557, company trades 44x FY23EEPS of Rs 12.7 and 40x FY24EEPS of Rs 14. **We upgrade our rating to "Buy" from "Buy on Dips" with a target price of Rs 630. (45x FY24EEPS)**

Financial

P&L (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	87,036	95,598	109,222	122,539	134,793	Net Profit	14,479	16,931	18,628	22,405	24,813
						Add: Depreciation	2,205	2,401	2,510	2,669	2,876
						Minority Interest	(30)	(17)	(40)	(43)	(47)
Cost of sales	69,112	75,590	85,989	95,486	105,327	Cash profits (Inc)/Dec in	16,654	19,316	21,099	25,031	27,643
Operating Profit	17,924	20,008	23,233	27,053	29,466	-Sundry debtors	197	2,523	(1,023)	(833)	(771)
Depreciation	2,205	2,401	2,510	2,669	2,876	-Inventories	(790)	(3,547)	(1,234)	(2,332)	(2,157)
PBIT	15,719	17,607	20,723	24,384	26,589	-Loans/advances	(91)	8	(37)	(41)	(45)
Other income	3,053	3,253	3,790	4,659	5,527	CL & provisions	11	4,225	2,076	600	2,538
Interest	495	308	379	310	296	- Other Assets	(5,568)	4,765	(546)	(597)	(651)
Profit before tax	18,277	20,552	24,133	28,732	31,820	Change in working capital	(6,242)	7,974	(764)	(3,203)	(1,086)
Exceptional items	1,000	-	-	-	-	CF from Oper. activities	10,412	27,289	20,335	21,828	26,557
share of profit/loss in JV	(0)	(10)	(7)	(8)	(9)						
PBT (Post Extra Ordinary)	17,276	20,542	24,126	28,724	31,811	CF from Inv. activities	(284)	(15,905)	(2,300)	(2,300)	(3,000)
Provision for tax	2,797	3,611	5,498	6,319	6,998						
Reported PAT	14,479	16,931	18,628	22,405	24,813	CF from Fin. activities	(5,287)	(6,208)	(7,595)	(9,102)	(10,060)
MI	30	17	40	43	47						
Adjusted PAT	15,288	16,914	18,588	22,362	24,766	Cash generated/(utilised)	4,841	5,177	10,439	10,426	13,497
						Cash at start of the year	3,273	8,114	13,290	23,730	34,156
						Cash at end of the year	8,114	13,290	23,730	34,156	47,653
							8,114	13,290	23,730	34,156	47,653
Balance Sheet	FY20	FY21	FY22E	FY23E	FY24E	Ratios	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	1,767	1,767	1,767	1,767	1,767	OPM	21	21	21	22	22
Reserves	64,290	74,868	86,021	99,438	114,298	NPM	17	17	16	18	18
Net worth	66,058	76,635	87,788	101,205	116,065	Tax rate	15	18	23	22	22
Minority Interest	365	367	407	450	496						
Non Current Liabilities	2,479	2,127	1,948	1,769	1,590	Growth Ratios (%)					
						Net Sales	2	10	14	12	10
Current Liabilities	24,639	29,342	31,398	31,976	34,492	Operating Profit	3	12	16	16	9
						PBIT before other income	1	12	18	18	9
CAPITAL EMPLOYED	93,540	108,471	121,540	135,400	152,644	PAT	2	11	10	20	11
Non Current Assets	44,738	60,712	60,680	60,503	60,835	Per Share (Rs.)					
						Net Earnings (EPS)	9	10	10.5	12.7	14.0
Fixed Assets	20,117	20,037	19,827	19,457	19,581	Cash Earnings (CPS)	7	8	9	11	12
Non Current Investments	14,092	34,136	34,136	34,136	34,136	Dividend	3	3	5	4	5
Non Current tax assets	231	222	222	222	222	Book Value	37	43	50	57	66
Long Term Loans and Advances	246	225	247	272	299	Free Cash Flow	6	6	10	11	13
Other NON Current Assets	6,175	2,226	2,382	2,550	2,731						
Goodwill	3,360	3,360	3,360	3,360	3,360						
Investment property	516	505	505	505	505						
Current Assets	48,803	47,759	60,861	74,897	91,810	Valuation Ratios					
Current investments	13,910	7,460	7,460	7,460	7,460	P/E(x)	64	58	53	44	40
Inventories	13,796	17,343	18,577	20,909	23,066	P/B(x)	15	13	11	10	8
Trade Receivables	8,139	5,616	6,639	7,472	8,243	EV/EBITDA(x)	55	49	42	35	32
Cash and Bank Balances	8,114	13,290	23,730	34,156	47,653	Div. Yield(%)	0	0	1	1	1
Short Term Loans and Advances	131	145	159	175	192	FCF Yield(%)	1	1	2	2	2
Other Current Assets	4,713	3,906	4,296	4,725	5,195						
						Return Ratios (%)					
						ROE	23%	22%	21%	22%	21%
CAPITAL DEPLOYED	93,540	108,471	121,540	135,400	152,644	ROCE	27%	26%	27%	27%	27%
ROA	16.3	15.6	15.3	16.5	16.2						

Source: Dalal & Broacha Research

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